

Employing in Italy

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the correct CCNL (national collective agreement) for the sector
- **Monthly payroll** — salary payments in EUR, itemised busta paga, 13th (and where applicable 14th) month salary
- **Tax withholding** — IRPEF withheld monthly, with regional/municipal surcharges
- **INPS & INAIL** — social security and workplace injury insurance contributions
- **Leave and termination management** — notice periods, entitlements and TFR (severance) accrual and payout

Employment Conditions

Contracts & Probation

Italy has no statutory minimum wage — pay floors, notice periods and most other terms are set by the applicable CCNL, making correct CCNL selection the single most important compliance decision for a new hire.

Item	Detail	Legal Basis
No statutory minimum wage	Pay floors set by the applicable CCNL by sector	Collective bargaining
Probation period	Set by CCNL; commonly 1-6 months depending on role level	CCNL / Civil Code
Contract types	Contratto a tempo indeterminato (permanent, CDI) or determinato (fixed-term, CTD, capped at 12-24 months)	Jobs Act / Decreto Dignità

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	40 hours/week	Civil Code / CCNL
Overtime premium	Set by CCNL; commonly 125%-150%	Applicable CCNL
13th month salary (Tredicesima)	Effectively universal, paid in December	CCNL / customary practice
14th month salary (Quattordicesima)	Only where the sector CCNL provides it, typically paid in June	Applicable CCNL

Statutory On-Costs (2026)

Measure	Rate	Notes
Employer INPS contribution	~29%-33% of gross salary	Varies by sector, company size and employee category
Employee INPS contribution	~9%-10% of gross salary	Deducted before IRPEF
INAIL (workplace injury insurance)	0.75%-1.5% (office roles); higher for manufacturing/construction	100% employer-funded
TFR (severance) accrual	~6.91%-7.41% of gross salary annually	Payable on any exit, for any reason; from 1 July 2026 automatically allocated to a pension fund for new hires unless opted out within 60 days

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 4 weeks/year	Employer	Many CCNLs offer more
Maternity Leave	5 months (2 before + 3 after birth, flexible split)	INPS (80% of salary, often topped up by employer/CCNL)	Mandatory leave period, cannot be waived
Paternity Leave	10 days	INPS (100% of salary)	Must be taken within 5 months of birth
Sick Leave	Job-protected "comporto" period (varies by CCNL, commonly 6-12 months)	INPS + employer top-up under most CCNLs	Dismissal is void if issued during the comporto period

★ HERO TIP

TFR is Italy's most distinctive cost — every employer accrues roughly 6.91%-7.41% of gross salary per year as deferred severance, revalued annually for inflation, and it is paid out on any exit for any reason (including resignation). From 1 July 2026, TFR for newly hired employees is automatically redirected to a supplementary pension fund unless the employee opts out within 60 days — budget for this administrative step on every new Italy hire.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer INPS contribution (illustrative, 30%)	\$900.00	30.00%
INAIL (illustrative, 1%)	\$30.00	1.00%
TFR accrual (7.41%)	\$222.30	7.41%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,752.30	~158.4%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. This excludes the 13th (and, where applicable, 14th) month salary, which typically add a further ~8.3%–16.7% in annualised cost — a realistic starting multiplier for total Italian employment cost is roughly 1.4–1.5× gross salary. Employee deductions (withheld separately) include INPS (~9–10%) and progressive IRPEF plus regional/municipal surcharges.

Income Tax (IRPEF, 2026)

The 2026 Budget Law reduced the middle bracket from 35% to 33%. Regional (1.2%–3.3%) and municipal (0.1%–0.9%) surcharges apply on top of national IRPEF.

Annual Taxable Income (EUR)	National Rate
Up to 28,000	23%
28,000 – 50,000	33%
Above 50,000	43%

Termination & Separation

Notice periods are set entirely by the applicable CCNL and vary widely by role level and tenure (commonly 15 days to 4 months). TFR is payable on any exit regardless of reason. Beyond TFR, unjustified dismissal can expose the employer to court-ordered compensation (indennità risarcitoria) under the Jobs Act framework, generally ranging from roughly 2 to 36 months' salary depending on company size and the employee's seniority.

★ HERO TIP

Because Italy has no single statutory notice period or severance formula — both flow from the applicable CCNL — the single biggest compliance risk in Italian hiring is applying the wrong collective agreement from day one. Confirm the correct CCNL for the role and sector with your HeroForce EOR before finalising any Italy offer.

Public Holidays 2026

Italy observes 12 national public holidays in 2026, plus each municipality's local patron saint day (a paid holiday specific to that town or city).

Date	Holiday	Type
1 January	New Year's Day	National
6 January	Epiphany	National
6 April	Easter Monday (Pasquetta)	National
25 April	Liberation Day	National
1 May	Labour Day	National
2 June	Republic Day	National
15 August	Ferragosto (Assumption Day)	National
1 November	All Saints' Day	National
8 December	Immaculate Conception	National
25–26 December	Christmas Day and St. Stephen's Day	National

Each Italian municipality also observes its own patron saint day (e.g. 7 December in Milan, 24 June in Florence) as an additional local paid holiday.

Ready to hire in Italy?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Italy employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).